

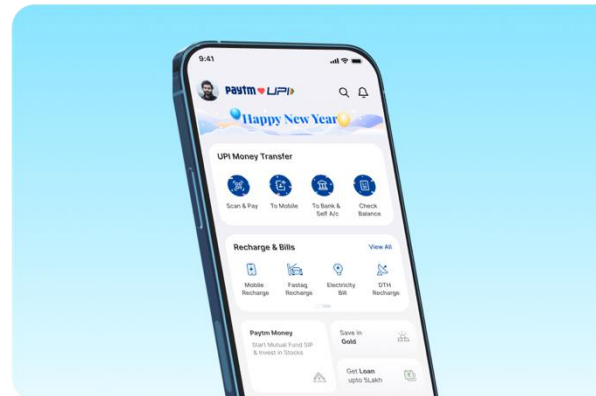


Earnings Presentation

For the quarter ending December 2025

paytm ♥ Ai ✨

Powered by Ai for financial inclusion of India



Paytm Proprietary Ai ✨ System: Globally Recognised as #1 on Spider 2.0 Snow Leaderboard

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Use of Operating Metrics

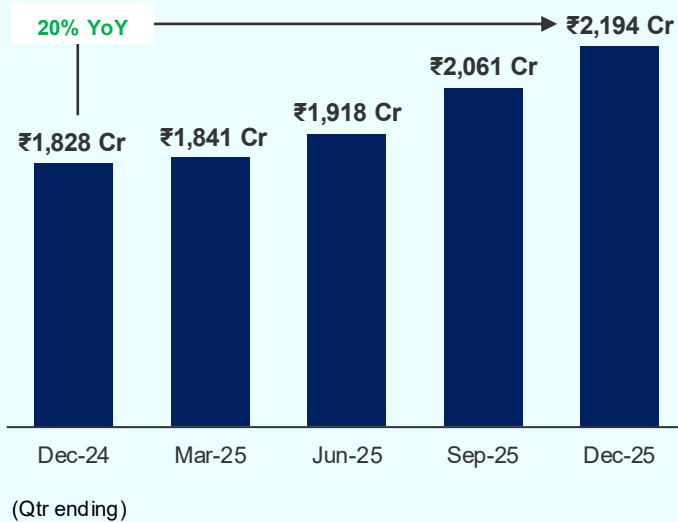
The operating metrics reported in this Presentation are calculated using internal Company data based on the activity of our merchants, consumers and other participants in our ecosystem. While these numbers are based on what we believe to be reasonable estimates of engagement, for the applicable period of measurement, there are inherent challenges in measuring usage across our large online, offline, in-store and mobile presence. The methodologies used to measure these metrics require significant judgment and are also susceptible to algorithm or other technical errors. We regularly review our processes for calculating these metrics, and from time to time we may discover inaccuracies in our metrics or may make adjustments to improve their accuracy, which can result in adjustments to previously disclosed metrics. In addition, our metrics will differ from estimates published by third parties due to differences in methodology.

We have converted financial amounts from ₹ millions into ₹ Cr and hence there could be some totaling anomalies in the numbers.

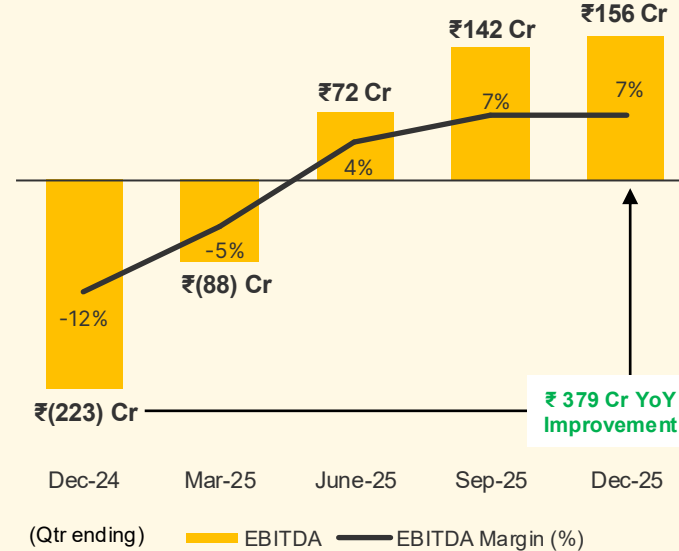
Revenue grew to ₹2,194 Cr (▲ 20% YoY); EBITDA improved to ₹156 Cr (EBITDA margin of 7%)

Expanding Profitability while gaining market share in both merchant and consumer payments

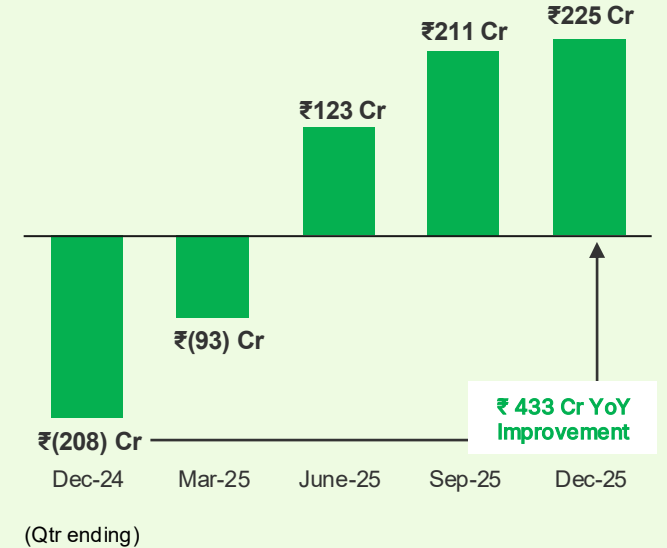
Revenue Growth Momentum Continues



Continued increase in EBITDA



Profit After Tax



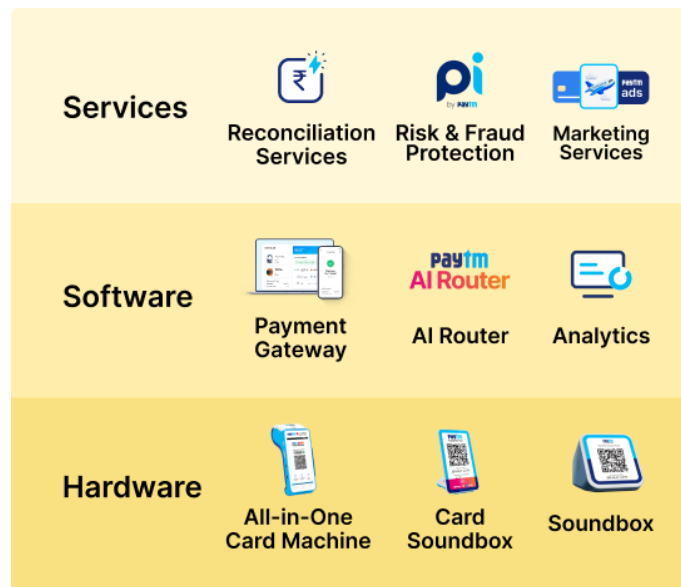
For like-to-like comparison, one-time exceptional items have been excluded as stated below:

1. Quarter ending Mar-25: Revenue, EBITDA and PAT excludes UPI Incentive of ₹70 Cr. PAT excludes exceptional charge of ₹522 Cr towards acceleration of ESOP expense and other impairments
2. Quarter ending Sep-25: PAT excludes one-time charge for full impairment of ₹190 Cr loan to our JV, First Games Technology Private Limited

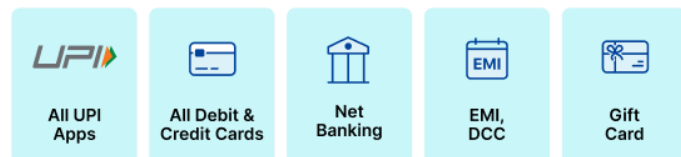
Paytm is India's full stack Merchant Payment Leader serving MSMEs and Enterprise merchants



Offers AI-powered Full Technology Stack



Payment Instruments



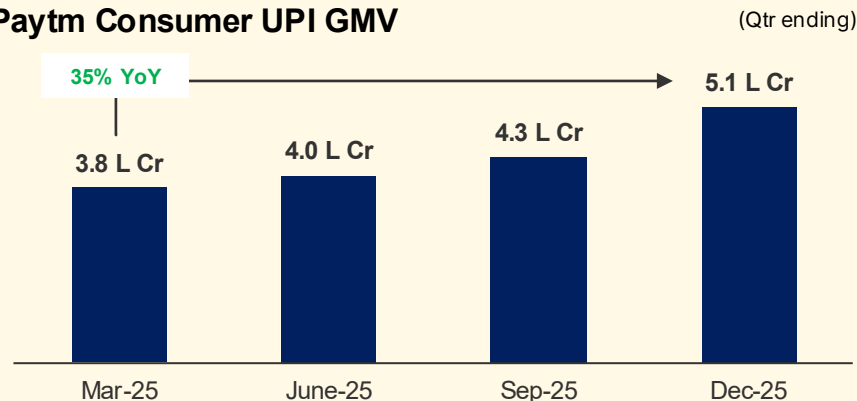
Across Enterprise Merchants and MSMEs



Driving Consumer Payments through AI-first, Product-led Innovation



Paytm Consumer UPI GMV



Paytm beats Industry growth of 16% in the same time period

Source: NPCI

Gain in Consumer UPI Market Share for 3 consecutive quarters

- Our AI-first, product led strategy helped us grow more than twice the industry growth
- Building on this momentum, we have prudently invested in promotional expense to boost consumer retention and market share gain
- Focused on maximising lifetime value through additional monetisation levers such as Wealth products, Paytm Travel, Consumer Loans and Advertising

Consumer Monetisation Levers



Driving Growth and Efficiency through AI Capabilities



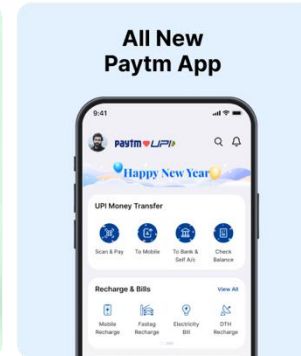
Merchant Onboarding

AI led quality checks for onboarding and profile updates, driving growth of high quality merchants



Fraud Prevention

Real-time AI fraud and risk detection engine



Customer Delight

End-to-end resolution of customer queries through 24x7, multi-lingual conversational AI agents

Improved Marketing Stack

Sharper audience targeting and segmentation, reducing customer acquisition cost and improve ROI



Enhanced Cross - Sell

Drive insights via "Paytm ARMS" platform, optimising conversions



Improved Collection Performance

Predict merchant churn and delinquency for segment-specific interventions, leading to improved collection bonuses



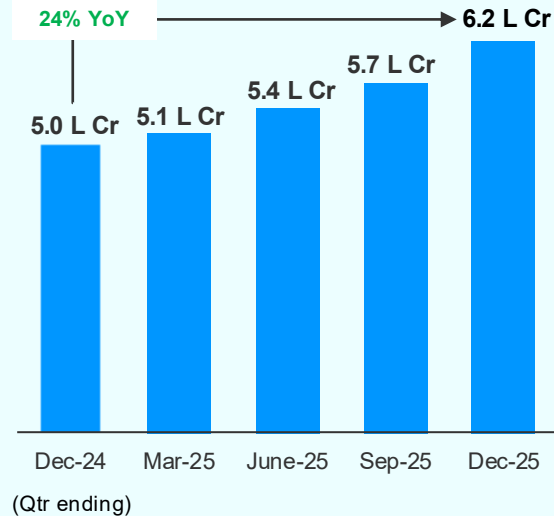
Payment Services: Expanding Leadership in Merchant Payments



Payment Processing Revenue

= Gross fees charged to the merchant – Payment processing charges

Gross Merchandise Volume

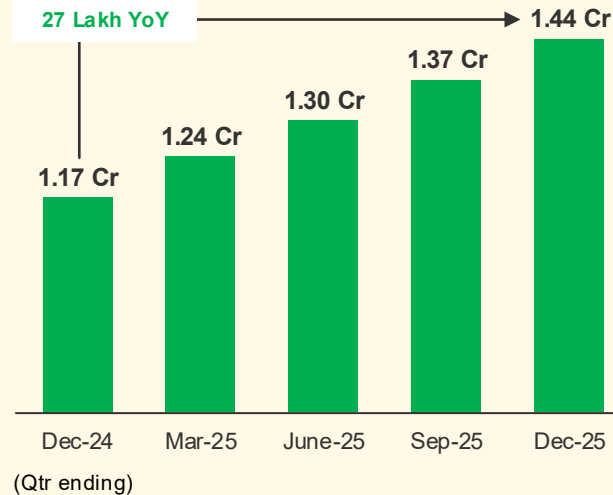


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Subscription Revenue

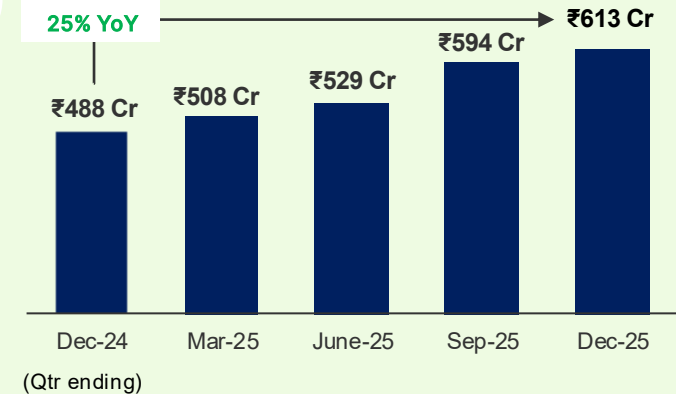
= Charges merchant pays for various monthly services, including devices

Merchant Subscriptions (Including Devices)



=

Net Payment Revenue

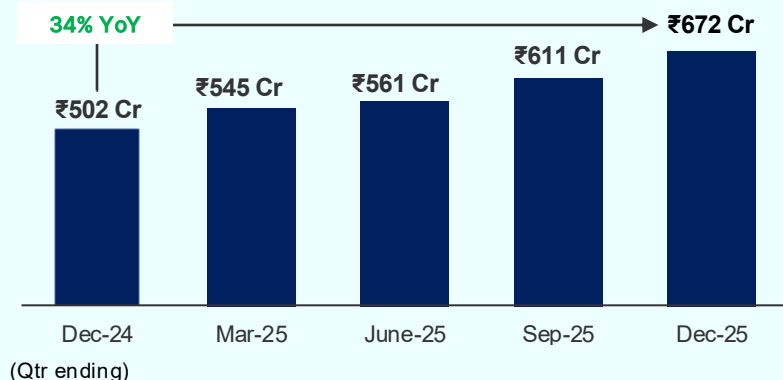


- Continue to see increase in payment processing margin, with margin now trending comfortably above 4 bps
- In the scenario of no PIDF incentive, we expect to significantly offset the impact over time
- We remain disciplined on RoI and payback periods for devices and continue to see robust growth in Jan'26

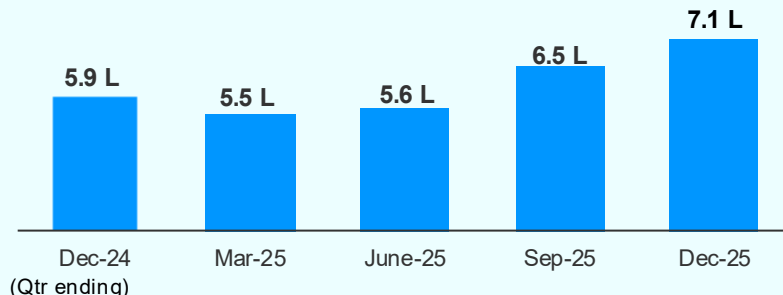
Distribution of Financial Services: Low Penetration offers significant Long-term opportunity



Revenue from Distribution of Financial Services



Key Financial Services Customers (# Lakh)



Revenue growth driven by continued growth in distribution of merchant loans and wealth products

Merchant Loan Distribution:

- Growth in device base and increase in penetration, is driving continuous growth momentum, supported by both new and repeat borrowers
- Based on our 6+ years of experience, we believe this business exhibits lower cyclical and compounds sustainably, supported by a) Strong product-market fit, b) high merchant retention, and c) repeat loan behaviour

Consumer Loan Distribution:

- As market sentiments improve, we are excited about the opportunities to create differentiated products for our large consumer base, which benefit them and deepen our long-term relationship
- Paytm Postpaid is scaling well and showing strong asset quality trends

Equity Broking:

We are seeing improved monetization across Equity Broking and Margin trade funding (MTF), and expect this trend to continue driven by AI-powered product offerings

Marketing Services: Driving Additional Monetization from Merchants

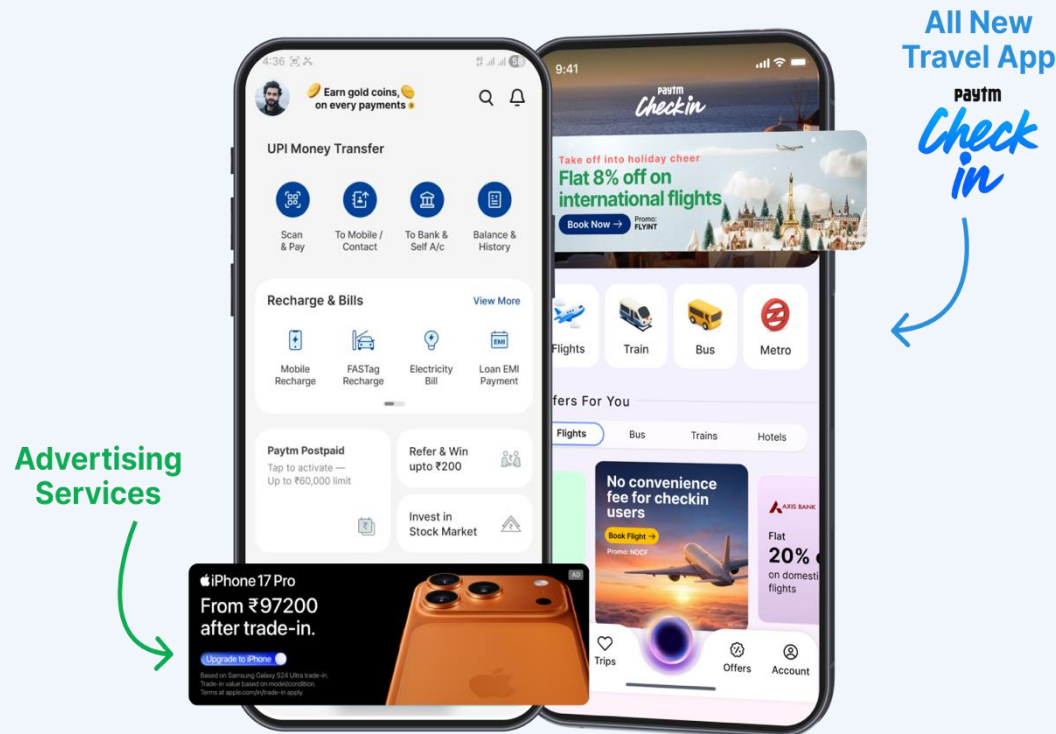
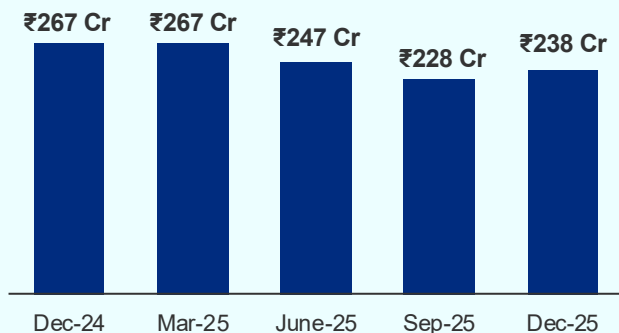


We enable merchants to offer below services on our app:

- **Advertising:** We are focused on driving advertiser ROI through AI-powered targeting and personalization, while optimizing user experiences to ensure ads reach most relevant audience within our MTU base
- **Travel ticketing:** During the quarter, we launched AI-led travel app 'Paytm Checkin' with an in-app conversational assistant enabling intuitive booking, and contextually relevant recommendations that improve with every interaction

To drive higher consumer retention and market share growth, we have optimized our consumer app upsell properties, with full revenue impact reflected in this quarter. Increase in MTUs and improving upsell funnel to be future growth drivers.

Marketing Service Revenue (Qtr ending)



Key Focus Areas



Continue to Lead India's Enterprise and MSME Merchant Payments

Focused on expanding leadership through our full-stack omni-channel payment offerings



Expand Distribution of Financial Services

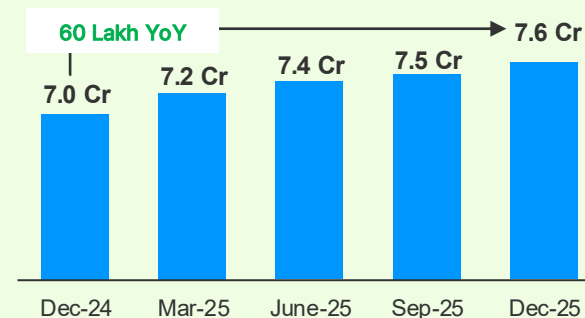
Grow distribution through increase in lending partners, new products and enhance collection performance using AI



Drive Gain in Consumer UPI Market Share

Enhance consumer experience and boost retention, supporting continued gains in market share

Monthly Transacting Users (For the quarter)



International Expansion: As an additional long-term growth driver, we are evaluating select new markets for our technology and products. We expect this initiative to start contributing meaningfully after 2-3 years

Building a high quality, long-term profitable business that reflects industry-leading customer monetisation



Over the years, we have built the business with strong foundation reflected in industry-leading customer monetisation and cost discipline.

This has been evident recently in several areas:

- Insignificant impact from industry stoppage of rent payments through credit card (PA PG guidelines, Sep 2025) and Real Money Gaming (RMG) Act, Aug 2025, as we had taken proactive compliance measures
- Discontinued use of “adjusted” metrics; all disclosures are on GAAP basis or as per standard definitions, which drives appropriate resource allocation decisions
- Movement to conservative revenue recognition policy, which reduced revenues but also Provision for Doubtful Debt (PDD)
- As mentioned in earlier quarters, we benefited from Payment Infrastructure Development Fund (PIDF) incentive (total of ₹216 Cr incentive for the nine months ended Dec 31, 2025), applicable till Dec 2025. We expect to significantly offset the impact over time through a combination of higher revenues and targeted sales efforts, in line with our discipline on RoI and payback periods.





Annexure

Operating Revenue and Contribution Profit



(in ₹ Cr)	Quarter Ended			Change		Nine Months Ended		
	Dec-25 (Unaudited)	Sep-25 (Unaudited)	Dec-24 (Unaudited)	YoY	QoQ	Dec-25 (Unaudited)	Dec-24 (Unaudited)	YoY
Payment Services	1,192	1,146	1,003	19%	4%	3,382	2,833	19%
Distribution of Financial Services	672	611	502	34%	10%	1,843	1,158	59%
Marketing Services	238	228	267	(11)%	4%	713	890	(20)%
Other Operating Revenue	92	77	56	64%	19%	235	108	118%
Revenue from Operations (A)	2,194	2,061	1,828	20%	6%	6,173	4,989	24%
Payment processing charges	671	629	570	18%	7%	1,881	1,604	17%
<i>As % of GMV</i>	0.11%	0.11%	0.11%	0 bps	0 bps	0.11%	0.12%	(1) bps
Promotional cashback & incentives	69	50	37	86%	38%	157	110	43%
Other Expenses	205	176	262	(22)%	16%	529	667	(21)%
Total Direct Expenses (B)	945	855	869	9%	11%	2,567	2,381	8%
Contribution Profit (C = A-B)	1,249	1,207	959	30%	3%	3,606	2,608	38%
<i>Contribution Margin %</i>	57%	59%	52%	447 bps	(164) bps	58%	52%	614 bps

EBITDA



(in ₹ Cr)	Quarter Ended			Change		Nine Months Ended		
	Dec-25 (Unaudited)	Sep-25 (Unaudited)	Dec-24 (Unaudited)	YoY	QoQ	Dec-25 (Unaudited)	Dec-24 (Unaudited)	YoY
Contribution Profit (C)	1,249	1,207	959	30%	3%	3,606	2,608	38%
<i>Contribution Margin %</i>	57%	59%	52%	447 bps	(164) bps	58%	52%	614 bps
Marketing	77	72	104	(26)%	7%	211	407	(48)%
Employee cost (incl ESOPs)	721	662	757	(5)%	9%	2,026	2,540	(20)%
Software, cloud and data center	166	133	154	8%	25%	467	494	(5)%
Other indirect expenses	128	198	167	(23)%	(35)%	532	585	(9)%
Total indirect expenses (D)	1,092	1,064	1,182	(8)%	3%	3,236	4,025	(20)%
EBITDA (E = C-D)	156	142	(223)	nm	10%	370	(1,418)	nm
<i>Margin %</i>	7%	7%	(12)%	1,931 bps	22 bps	6%	(28)%	3,442 bps

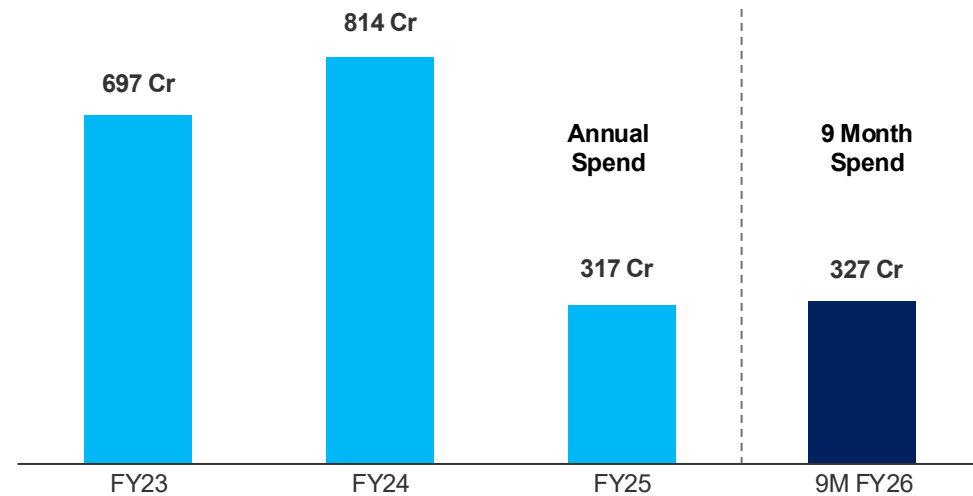
ESOP Pool Schedule

As of Jan 29, 2026	(in Cr.)
Basic shares outstanding	64.0
ESOPs vested and unexercised	0.2
ESOPs granted and unvested	1.1
ESOPs available for distribution	2.7
Estimated fully diluted shares	67.9

Indirect Expenses

(in ₹ Cr)	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	YoY Change (%)
Marketing	104	102	62	72	77	(26)%
Sales employees (incl. ESOP Costs)	231	247	268	297	315	36%
Non-sales employee costs (incl. ESOP Costs)	525	502	375	365	406	(22)%
Software & Cloud expenses	154	146	168	133	166	8%
Other indirect expenses	167	165	207	198	128	(23)%
Total Indirect Expenses (incl. ESOP Costs)	1,182	1,160	1,079	1,064	1,092	(8)%

Capex



Reconciliation of Non-GAAP Measures



EBITDA to Net Income

(in ₹ Cr)	Quarter Ended			Change		Nine Months Ended		
	Dec-25 (Unaudited)	Sep-25 (Unaudited)	Dec-24 (Unaudited)	YoY	QoQ	Dec-25 (Unaudited)	Dec-24 (Unaudited)	YoY
EBITDA (E)	156	142	(223)	nm	10%	370	(1,418)	nm
Finance costs (F)	(4)	(5)	(4)	0%	(20)%	(13)	(12)	8%
Depreciation and amortization expense (G)	(133)	(137)	(165)	(19)%	(3)%	(436)	(522)	(16)%
Other income (H)	212	222	189	12%	(5)%	676	501	35%
Share of profit/(loss) of associates/joint ventures (I)	(1)	(1)	0	nm	nm	(2)	3	(33)%
Exceptional items (J)	-	(190)	0	nm	nm	(207)	1,346	nm
Income Tax expense (K)	(5)	(10)	(5)	0%	(50)%	(19)	(16)	19%
Profit / (Loss) for the period/year (L = sum of E to K)	225	21	(208)	nm	971%	369	(118)	nm

Operational KPIs



	Units	Quarter Ended			Change	
		Dec-25 (Unaudited)	Sep-25 (Unaudited)	Dec-24 (Unaudited)	YoY	QoQ
Registered Merchants (end of period)	Cr	4.8	4.7	4.3	12%	2%
Subscription Merchants including devices (cumulative; end of period)	Cr	1.44	1.37	1.17	23%	5%
GMV	₹ Lakh Cr	6.2	5.7	5.0	24%	9%
Merchant Transactions	Cr	1,466	1,453	1,108	32%	1%
Total Transactions	Cr	1,716	1,658	1,232	39%	3%
Average Number of Sales Employees	#	44,461	44,154	32,019	39%	1%
Cost of Sales Employees (including ESOP Costs)	₹ Cr	315	297	231	36%	6%
MTU (average over the period)	Cr	7.6	7.5	7.0	9%	1%
Key financial services customers	Lakh	7.1	6.5	5.9	20%	9%

Breakup of available Cash and investable balance (Net Cash Balances)



Particulars (in ₹ Cr)	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25
Cash and Bank Balances	4,451	4,539	4,561	4,861	5,468
Deposits with banks	6,997	7,018	6,478	6,267	6,115
Investments (Mutual Funds/T-Bills/CP/G-Sec/NCD/NBFC FDs)	4,143	4,046	5,086	5,545	4,747
Total Balances (A)	15,591	15,602	16,124	16,674	16,329
Paytm Money Ltd (PML) customer funds (B)	287	326	420	351	415
Balances in Escrow / Nodal Accounts (C)	2,454	2,467	2,832	3,254	3,732
Total Balances (excluding PML and Escrow) (A-B-C)	12,850	12,809	12,872	13,068	12,182
Prefunded balance in escrow account from PPSL post transfer of offline business (D)		Negligible			700
Total Balance (A - B - C + D)	12,850	12,809	12,872	13,068	12,882

During Q3 FY 2026, our cash balance movement has been due to higher working capital (typical in the quarter end after festive period), higher pre-funding in the merchant nodal / escrow account following the transfer of offline merchant business to PPSL as per regulatory guidelines, and growth of MTF book.

To meet peak working capital requirement related to merchant payment settlement, we have pre-funded escrow account by Rs 700 Cr in Q3 FY26 and are currently maintaining this pre-funding position, leading to increase in 'Balance in Escrow / Nodal Accounts'. This amount was negligible earlier. After considering pre-funded amount in Escrow as cash balance, our cash balance is ₹12,882 Cr as of quarter ending December 2025, as compared to ₹12,850 Cr as of quarter ending December 2024.

Indicative Performance Metrics for Loan Distribution (Dec 2025 quarter)



	Merchant Loans
Bounce Rates	NA
Bucket 1 Resolution %	83% to 90%
Recovery Rate Post 90+	30% to 35%
ECL%	4.5% to 5.0%

Loans are underwritten and booked by our lending partners in their balance sheets. Paytm acts as a collection outsourcing partner and the numbers are hence indicative of those efforts

Definitions for Metrics & Key Performance Indicators

Metric	Definition
GMV	GMV is the rupee value of total payments made to merchants through transactions on our app, through Paytm Payment Instruments or through our payment solutions, over a period. It excludes any consumer-to-consumer payment service such as money transfers.
Monthly Transacting User (MTU)	Number of unique users in a particular calendar month who have successfully completed a transaction on our App or have used the Paytm for Business App
Contribution Profit	We define Contribution profit as revenue from operations less payment processing charges, promotional cashback & incentives expenses, connectivity & content fees, contest, ticketing & logistics, deployment & collection cost of our businesses.
Net Payments Revenue	Payments revenues (including other operating revenue) less payments processing charges
Key Financial Services customers	Key financial services customers are unique consumers and merchants who have availed Paytm's and group entity's financial services offerings, i.e. equity broking, insurance and credit products, such as merchant and consumer loans distributed through our platform. However, it does not include customers availing mutual fund distribution, Postpaid loans, gold distribution or any attachment insurance products, as they contribute negligible revenue/profitability

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